DCF & Comparable Companies Valuation

Illustrative Manufacturing Co. | valuation date 31 Dec 2025 | $ thousands unless stated

Purpose	Values the company three ways (DCF with perpetuity growth, DCF with an exit multiple, and trading comparables) and compares them on one summary page.
Data	Forecast from the base case of the three-statement-model project. Market inputs and peer multiples are illustrative, not real market data.
How to use	Change the blue or yellow cells on the WACC, DCF and Comps sheets. Everything else is a formula.
Sheets	Forecast > WACC > DCF > Sensitivity > Comps > Summary
Colour key	Blue = hardcoded input | Black = formula | Green = link to another sheet | Yellow fill = key assumption
Author	Muhammed Anshaj K

Forecast inputs

Illustrative Manufacturing Co. ($ thousands unless stated)

	2025A	2026E	2027E	2028E	2029E	2030E
Revenue	12,000	13,200	14,388	15,539	16,627	17,624
EBITDA	2,340	2,640	2,950	3,341	3,575	3,877
Depreciation & amortisation	600	660	719	777	831	881
EBIT	**1,740**	**1,980**	**2,230**	**2,564**	**2,744**	**2,996**
Capital expenditure		858	863	932	915	969
Net working capital (AR + inventory - AP)	1,940	2,134	2,323	2,505	2,681	2,842
Net income	1,155					
Balance sheet at 31 Dec 2025						
Cash	908					
Debt	3,000					
Shares outstanding (thousands)	1,000					

Source: base case of the three-statement-model project (github.com/MuhammedAnshajK/three-statement-model), rounded to 0.1. Shares outstanding are illustrative.

Discount rate (WACC)

Illustrative Manufacturing Co. ($ thousands unless stated)

Risk-free rate	4.5%	*Illustrative long-term government bond yield*
Equity risk premium	5.5%	*Illustrative market premium*
Beta (levered)	1.10	*Illustrative, in line with industrial peers*
Cost of equity (CAPM)	**10.6%**	*Risk-free + beta x equity risk premium*
Pre-tax cost of debt	7.0%	*Matches the 7% interest rate in the three-statement model*
Tax rate	25.0%	*Matches the forecast tax rate*
After-tax cost of debt	5.3%	
Target debt / (debt + equity)	20.0%	*Illustrative target capital structure*
Target equity / (debt + equity)	80.0%	
WACC	**9.5%**	*Weighted average cost of capital*

Discounted cash flow

Illustrative Manufacturing Co. ($ thousands unless stated)

	2025A	2026E	2027E	2028E	2029E	2030E
EBIT	1,740	1,980	2,230	2,564	2,744	2,996
Less: tax on EBIT		(495)	(558)	(641)	(686)	(749)
NOPAT		**1,485**	**1,673**	**1,923**	**2,058**	**2,247**
Add: depreciation & amortisation		660	719	777	831	881
Less: capital expenditure		(858)	(863)	(932)	(915)	(969)
Less: increase in net working capital		(194)	(189)	(183)	(175)	(161)
Unlevered free cash flow		**1,093**	**1,340**	**1,585**	**1,799**	**1,998**
Discount period (years)		1	2	3	4	5
Discount factor		0.913	0.834	0.762	0.696	0.636
Present value of free cash flow		999	1,117	1,208	1,252	1,270

Assumptions	
WACC	9.5%
Terminal growth rate	2.5%
Exit EV / EBITDA multiple	8.0x

Valuation	**Perpetuity**	**Exit multiple**
Sum of PV of free cash flows	5,845	5,845
Terminal value (2030)	29,302	31,019
PV of terminal value	18,622	19,713
Enterprise value	**24,467**	**25,559**
Less: debt	(3,000)	(3,000)
Add: cash	908	908
Equity value	**22,375**	**23,467**
Value per share ($)	**$22.38**	**$23.47**
Terminal value as % of EV	76.1%	77.1%
Implied exit multiple / implied growth	7.6x	2.9%

Cash flows are discounted at year end. Terminal value uses the 2030 free cash flow grown one year.

Sensitivity: value per share ($)

Perpetuity growth method | WACC down the side, terminal growth across the top

WACC \ growth	1.5%	2.0%	2.5%	3.0%	3.5%
8.5%	$23.23	$24.82	$26.67	$28.87	$31.50
9.0%	$21.44	$22.80	$24.36	$26.18	$28.33
9.5%	$19.89	$21.05	$22.38	$23.91	$25.70
10.0%	$18.51	$19.52	$20.66	$21.96	$23.47
10.5%	$17.29	$18.17	$19.16	$20.28	$21.56

Centre cell (yellow) equals the base case on the DCF sheet.

Check: centre less DCF value per share -

Trading comparables

Illustrative peer group | multiples are made up for this example

	EV / Revenue	EV / EBITDA	P / E
Peer A (industrial machinery)	1.4x	8.5x	14.2x
Peer B (components)	1.1x	7.2x	12.5x
Peer C (automation)	1.9x	9.8x	17.0x
Peer D (metal products)	1.0x	6.9x	11.8x
Peer E (equipment)	1.3x	8.1x	13.9x
Peer F (precision parts)	2.1x	10.4x	18.5x
25th percentile	**1.2x**	**7.4x**	**12.9x**
Median	**1.4x**	**8.3x**	**14.1x**
75th percentile	**1.8x**	**9.5x**	**16.3x**
Company metric (2025A)	12,000	2,340	1,155
Implied value per share ($)			
At 25th percentile	$11.71	$15.28	$14.84
At median	$14.11	$17.33	$16.23
At 75th percentile	$19.21	$20.08	$18.83

Valuation summary

Value per share ($) | the bars in the chart run from low to high

	Low	High	Range	Base
DCF: perpetuity growth (sensitivity)	$17.29	$31.50	$14.21	$22.38
DCF: exit multiple (7.0x to 9.0x)	$21.00	$25.93	$4.93	$23.47
Comps: EV / EBITDA (25th to 75th pct)	$15.28	$20.08	$4.80	$17.33
Comps: EV / Revenue (25th to 75th pct)	$11.71	$19.21	$7.50	$14.11
Comps: P / E (25th to 75th pct)	$14.84	$18.83	$3.98	$16.23
Midpoint of all ranges	**$16.03**	**$23.11**		**$19.57**

The DCF sits above the trading comps because the forecast assumes margins expand from 19.5% to 22.0% EBITDA. Peers are valued on today's earnings.

